

GALLANT IAS ACADEMY

PRELIMS CUM MAINS BATCH 2027

ECONOMY

MODULE 1: BASIC CONCEPTS

Introduction

- **Economics:** Economics is the study of how limited resources are utilized in order to fulfil certain needs and wants. It is also known as the study of choices.
 - **Opportunity Cost:** Opportunity cost is the value of the next best alternative foregone when a choice is made. For example: For a farmer, using land to grow wheat means giving up the chance to grow rice: the opportunity cost is the rice.
- **Positive Economics:** It analyzes economic events factually, using data and observable evidence, i.e., it focuses on what is.
- **Normative Economics:** Deals with opinions, values, and recommendations about how the economy should be. It focuses on what it ought to be.
- **Central Problems of the Economy:** What to produce, How to produce, and For Whom to produce.

Types of Economy

- **Capitalist Economy:** An economic system where the means of production are privately owned, and production and investment decisions are guided by market forces of supply and demand.
 - Key features: Private Ownership, Profit Motive, Consumer Sovereignty, Minimal State Intervention
 - Examples: USA, UK, Australia
- **Socialist Economy / Command Economy:** An economic system where the means of production are collectively or state-owned, and economic decisions are made by a central planning authority.
 - Key features: State Ownership, Social Welfare Objective, Central Planning, Lack of Competition
 - Examples: The former Soviet Union and Cuba

Stock and Flow

- **Stock:** A quantity measured at a specific point in time (static), such as wealth, inventory, money supply, or population. Stock is measured at a moment.
- **Flow:** A quantity measured over a specific period (dynamic), such as income, investment, expenditure, or population growth, which changes the stock level. Flow is measured over an interval.

Demand and Supply

- Demand and Supply are together called the Market forces. A balance in demand and supply is required to maintain equilibrium in the economy.
- **Law of Demand:** When other things remain equal, the quantity demanded of a commodity will fall when its price rises and vice versa. It implies that there is

an **inverse or negative relationship** between price and demand for the commodity.

- **Law of Supply:** When other things remain equal, the **quantity supplied of a commodity will increase when the price rises** and decrease when the price falls. That is, there is a **direct or positive relationship** between price and supply.

Rivalry and Excludability

- **Rivalry:** Refers to whether one person's consumption of a good prevents or reduces another person's ability to consume that exact same unit.
 - **Rival:** A slice of pizza: if you eat it, no one else can eat it.
 - **Non-Rival:** Streetlights: if you walk under a streetlight, it does not diminish the light available for anyone else.
- **Excludability:** Refers to whether it is possible to prevent individuals who have not paid for a good from accessing or using it.
 - **Excludable:** A movie ticket or a paywalled website: you are denied access if you do not pay.
 - **Non-Excludable:** A public beach or national defense: there is practically no way to stop someone from benefiting, even if they do not pay taxes.

Externalities

- In economics, an **externality** is an unintended cost or benefit imposed on a third party who is not involved in the original transaction. Because these indirect effects are not reflected in the market price, they lead to **market inefficiencies**.
- **Positive Externality:** These happen when an economic activity provides an unintended **benefit** to a third party.
 - A person receives a vaccination, which not only protects them but also reduces the spread of disease to the broader community.
 - A beekeeper raises bees to sell honey, but the bees also inadvertently pollinate the crops and flowers of neighboring farms.
- **Negative Externality:** These occur when an economic activity imposes an unintended **cost** on an unrelated third party.
 - A factory emits air pollution while manufacturing goods, harming the health and property of nearby residents who are not compensated.
 - Driving a gas-powered vehicle contributes to greenhouse gases and traffic congestion, affecting all members of society.

Types of Goods

- **Private Goods:** **Excludable and rivalrous**; owned by individuals (e.g., cars, clothing).
- **Public Goods:** **Non-excludable and non-rivalrous**; available to all (e.g., national defense, public parks).
- **Common Resources (Common Goods):** **Non-excludable but rivalrous** (e.g., fish in the ocean, forests).
- **Club Goods (Artificially Scarce Goods):** **Excludable but non-rivalrous** (e.g., cinemas, streaming subscriptions, gym memberships).
- **Normal Goods:** Demand **increases** as consumer income rises (e.g., clothes, electronics).

- **Inferior Goods:** Demand **decreases** as consumer income rises (e.g., generic brands, public transport).
- **Giffen Goods:** A special type of inferior good where demand **increases as price rises**, violating the normal law of demand. **All Giffen goods are inferior, but not all inferior goods are Giffen goods.**
 - For a Giffen good, the **income effect must be negative and large** (a fall in income increases demand). The **price effect is positive**: an increase in price leads to an increase in demand (upward-sloping demand curve). This is the defining characteristic of a Giffen good and is the opposite of the normal law of demand.
 - Classic examples: staple foods (bread, rice, wheat) consumed by very poor households. Generic brands and public transport are **inferior goods only**, not Giffen goods.
- **Veblen Goods:** A type of **luxury goods** where demand increases with an increase in price, driven by the status or prestige associated with the higher price (e.g., designer handbags, luxury cars, premium watches).
- **Substitute Goods:** Goods used in place of one another; a price increase in one **raises demand for the other** (e.g., tea and coffee).
- **Complementary Goods:** Goods used together; a price increase in one **lowers demand for the other** (e.g., printers and ink).
- **Capital Goods (Producers' Goods):** Used to produce other goods (e.g., machinery, factories).
- **Consumer Goods:** Used by consumers to satisfy needs (e.g., food, clothes).
- **Intermediate Goods:** Goods used to produce other goods, often transformed in the process (e.g., flour for bread).
- **Sin Goods:** Considered "demerit goods," which create **negative externalities**: social and health problems, such as addiction or diseases.
- **White Goods:** Traditionally refer to **large home appliances** such as stoves, refrigerators, ACs and washing machines.

Factors of Production

- Factors of production are the essential resources required to create goods and services. **Factor income** is the monetary reward earned by the owners of these resources for their contribution to the production process.
- Economists divide these into four distinct categories:
 - **Land:** All natural resources utilized in production (physical land, water, minerals, forests, climate, etc.). Factor income earned by land is **Rent**.
 - **Labour:** The human effort, both physical and mental, invested in the production of goods and services. Factor income earned by labour is **Wages**.
 - **Capital:** The man-made physical assets (tools, machinery, buildings, and technology) used to produce other goods and services. It can also refer to the financial capital used to purchase these physical assets. Capital earns **Interest**.
 - **Entrepreneurship:** The specialized skill of organizing and managing the other three factors of production. It involves taking risks and innovating to bring a good or service to market. Factor income earned is **Profit**.
- **Active Factors of Production:** Labour and entrepreneurship are the **human efforts** that initiate, organize, and execute production, actively creating goods and

services.

- **Passive Factors of Production:** Land and capital are **non-human resources** and tools that remain idle without human intervention.

Types of Capital

- **Working Capital:** Refers to **short-term assets** and liabilities that a company uses in its day-to-day operations. These assets are constantly changing as they are used and replaced within a year (operating cycle). Examples: raw materials, cash in hand, fuel.
- **Fixed Capital:** Refers to **long-term tangible assets** used in the production process. These assets are relatively permanent and are not intended to be sold or converted to cash within a short period (usually more than one year). Examples: machinery, computers, factory buildings.

Sectors of the Economy

- Economic activities result in the production of goods and services while **sectors** are the group of economic activities classified on the basis of some criteria.
- The Indian economy can be classified into various sectors on the basis of **ownership, working conditions and the nature of the activities**.
- **Primary Sector:** Activities are undertaken by directly using natural resources which forms the base for all other products. This sector is also called the **Agriculture and Allied Sector**.
 - Examples: Agriculture, Mining, Fishing, Forestry, Dairy etc.
 - People engaged in primary activities are called **red-collar workers** due to the outdoor nature of their work.
- **Secondary Sector:** That part of a country's economy that **manufactures goods**, using the raw materials produced in the primary sector. Since this sector is associated with different kinds of industries, it is also called the **industrial sector**.
 - Examples: Pottery, textile mills, factories, cottage industries etc.
 - People engaged in secondary activities are called **blue-collar workers**.
- **Tertiary Sector:** Also known as the **service sector**, it is the part of the economy that provides services to its consumers and other businesses. This sector's activities help in the development of the primary and secondary sectors.
 - Examples: Banking, insurance, finance, marketing etc.
 - These jobs are called **white-collar jobs**.
- **Quaternary Sector:** These are specialized tertiary activities in the **Knowledge Sector** which demand a separate classification. The quaternary sector is the intellectual aspect of the economy: it is the process which enables entrepreneurs to innovate and improve the quality of services offered in the economy.
 - Examples: Research and Development, Information Technology, Education etc.
 - Like other tertiary functions, quaternary activities can also be outsourced.
- **Quinary Sector:** The part of the economy where the **top-level decisions** are made. This includes the government which passes legislation. It also comprises the top decision-makers in industry, commerce, and the education sector.
 - These are services that focus on the creation, re-arrangement and interpretation of new and existing ideas; data interpretation and the use and evaluation of new technologies.

- Professions under this category are often referred to as '**gold collar professions**'.

Note: A **pink-collar worker** is one who is employed in a job that is traditionally considered to be women's work. The term was used to distinguish female-oriented jobs from the blue-collar worker. Examples: babysitter, florist, day care worker, nurses etc.

Factors Responsible for the Location of Primary, Secondary and Tertiary Sector Industries in India

Primary Sector

- **Monsoon Climate:** India's agriculture is heavily reliant on the monsoons, influencing crop patterns and regional agricultural productivity.
- **Diverse Physiography:** The vast plains (Ganga-Brahmaputra), plateaus (Deccan), and coastal regions offer varied conditions for different primary activities. For example, fertile alluvial plains for rice and wheat, black soil for cotton, and coastal areas for fishing.
- **Mineral Belts:** India has distinct mineral belts, such as the **Chota Nagpur Plateau** for coal and iron ore, dictating the location of mining.
- **Water Scarcity:** Despite significant river systems, many regions face water scarcity, influencing agricultural practices and the viability of water-intensive crops.
- **Government Policies:** Agricultural policies, subsidies, and land reforms play a role in shaping primary sector activities.
- **Population Density:** High population density in many agricultural areas leads to **small landholdings** and intensive farming practices.

Secondary Sector

- **Raw Material Proximity:** Many Indian industries (e.g., iron and steel, sugar, cotton textiles) show a strong tendency to locate **near raw material sources** due to their bulky or perishable nature.
- **Energy Resources:** Coal-based thermal power plants influence the location of heavy industries in regions with coal reserves.
- **Labour Availability:** India's large and often low-cost labour force is a significant factor, attracting labour-intensive industries.
- **Transport Network:** The extensive railway and road network, along with coastal ports, plays a crucial role in industrial distribution. Early industrial centers often developed near port cities (Mumbai, Kolkata, Chennai).
- **Government Industrial Policies:** Post-independence, government policies aimed at regional balanced development have influenced industrial locations, sometimes offering incentives to set up industries in backward areas. **Special Economic Zones (SEZs)** are another example.
- **Historical Factors:** Colonial-era infrastructure and industrial development patterns (e.g., cotton textile industry in Mumbai and Ahmedabad, jute industry in Kolkata) continue to influence current locations.

Tertiary Sector

- **Population Density and Urbanization:** Large urban centers like **Mumbai, Delhi, Bengaluru, Chennai, and Hyderabad** are major hubs for tertiary sector activities due to high population and consumer demand.

- **Availability of Skilled Labour (Especially English-speaking):** India has a large pool of educated, English-speaking graduates, which has driven the growth of **IT and BPO services**.
- **Infrastructure Development:** Investment in digital infrastructure, expressways, and airports has facilitated the growth of the service sector.
- **Government Support:** Policies promoting IT parks, SEZs for services, and ease of doing business have been crucial.
- **Lower Operating Costs:** Compared to developed countries, lower labour costs and real estate prices in India have attracted **international service providers**.
- **Growing Middle Class:** The expanding middle class in India fuels domestic demand for a wide range of services.
- **Access to Capital and Financial Hubs:** Major financial centers like **Mumbai** attract banking, insurance, and other financial services.

Real Sector vs Financial Sector

- **Real Sector:** Includes all activities that directly **produce goods and services**, such as agriculture, manufacturing, and construction. Households and nonprofit institutions are also part of the real sector.
- **Financial Sector:** Concerned with the **flow of money and other financial assets**. It includes activities such as lending, investing, and trading securities. While the financial sector is important for supporting economic growth, it does **not directly produce goods or services**.

Formal and Informal Economy

- **Formal Economy:** Consists of economic activities that are **registered, regulated, and monitored by the government**.
 - Businesses are legally registered.
 - Workers have written contracts.
 - Taxes are paid.
 - Labour laws are followed.
 - Employees receive benefits such as **provident fund, pension, insurance, paid leave**, etc.
- **Informal Economy:** Consists of economic activities that are **not fully regulated or registered with the government**.
 - Businesses may not be registered.
 - No written employment contracts.
 - Irregular wages and job insecurity.
 - Limited or no social security benefits.
 - Often escapes taxation and official records.

Other Economy Types

- **Circular Economy:** A sustainable system designed to **eliminate waste and pollution**, circulate materials at their highest value, and regenerate nature. The 5 Rs of circular economy: **Refuse, Reduce, Reuse, Repurpose, Recycle**.
- **Care Economy:** The network of both paid and unpaid labour required to support **human well-being, health, and physical maintenance**. Focus: Childcare, eldercare, nursing, education, and domestic support.

- **Orange Economy (Creative Economy):** Economic activities founded on personal imagination, creativity, culture, and **intellectual property (IP)**. Focus: Media, arts, film, music, gaming, design, and digital content creation.
- **Knowledge Economy:** An economic system where wealth is primarily generated through **knowledge-intensive activities** rather than physical manufacturing or manual labour. Focus: R&D, information technology, data analysis, specialized professional services (medicine, law), and education.
- **Silver Economy:** All economic activities, products, and services designed to meet the needs and purchasing power of the **aging and senior population (usually 50+)**. Focus: Geriatric healthcare, pharmaceuticals, wellness, specialized insurance, and smart home automation.
- **Digital Economy:** The broad range of economic activities that use **digitized information and communication technologies (ICT)** as foundational inputs. Focus: E-commerce, cloud computing, digital payments, and automated manufacturing.

Previous Years' Questions (PYQs)

- Which of the following activities constitute a real sector in the economy? (2022)
 - Farmers harvesting their crops
 - Textile mills converting raw cotton into fabrics
 - A commercial bank lending money to a trading company
 - A corporate body issuing Rupee Denominated Bonds overseas
 - 1 and 2 only
 - 2, 3 and 4 only
 - 1, 3 and 4 only
 - 1, 2, 3 and 4
- With reference to the sectors of the Indian economy, consider the following pairs: (2024)

1. Storage of agricultural produce	Secondary
2. Dairy farm	Primary
3. Mineral exploration	Tertiary
4. Weaving cloth	Secondary

How many of the pairs given above are correctly matched?

- Only One
- Only Two
- Only Three
- All four

3. Which of the following can be classified as working capital?

1. Raw materials
2. Cash in hand
3. Machinery
4. Fuel

- (a) 1, 2 and 4 only
- (b) 1 and 3 only
- (c) 2 and 3 only
- (d) 1, 2, 3 and 4

4. Consider the following characteristics:

1. Written job contracts
2. Social security benefits
3. Regulated working conditions

The above are generally associated with:

- (a) Tertiary sector
- (b) Formal sector
- (c) Primary sector
- (d) Secondary sector

5. With reference to physical capital in Indian economy, consider the following pairs:

1. Farmer's Plough	Working Capital
2. Computer	Fixed Capital
3. Yarn used by the Weaver	Fixed Capital
4. Petrol	Working Capital

How many of the pairs are correctly matched?

- (a) Only one
- (b) Only two
- (c) Only three
- (d) None

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